

Q: How are companies dealing with problems with their supply chains or addressing the long-term issue of supply chain localisation?

A: I think everybody is starting to think about the localisation of supply chains. But it's not easy. It's not like a switch that you can turn on and off. Take, for instance, the pharma sector, where the production-linked incentive (PLI) for drugs means you want to produce the end product, but you need inputs, and [those] primarily come from China. You need to be able to say that there is going to be incentivisation. And a large part of the incentivisation from the government and other bodies should be focussed on localisation of these supply chains, which, on the pharma side, was done at the peak of Covid-19.

The localisation of supply chains is bound to happen. I think that is going to happen everywhere, not just in India. And wherever and whoever can localise quicker, will be able to come through reasonably unscathed. Wherever you can't, there will be challenges. The other piece is regional cooperation. I do believe you will see a lot more regional cooperation. It could be a collaboration between [countries in] the Asean region or parts of the region. You can see the signing of FTAs [free trade agreements]. India has already signed 13 FTAs. Can we do something with Bangladesh, Myanmar, and the like? The bilateral [trade agreements] will support the localisation of supply chains. That is going to be the order of the day. India is talking about signing an FTA with the UK. The FTA with European Union will be the bigger one.

Q: The PLI schemes apart, what are the encouraging signs you see for businesses?

A: At a broader level, there are quite a few encouraging things we are working on—the new SEZ policy, the climate change piece, the vehicle scrappage policy, etc. For instance, the vehicle scrappage policy means [consumers] buying a new car at some point in time. It will drive production and global corporations will get excited about India. The [Bharat Forge Chairman & MD] Baba Kalyani-headed committee is re-examining the entire SEZ policy to make it easier. The Vodafone retro tax settlement issue is also a positive development. I think it's a combination of all these things, which hopefully will position India a bit better. I must say that multinational corporations with deep manufacturing capacity, which are present in India, are generally happy. Crossing the hump of coming to India—that is the challenging part.

Q: The SEZ policy has not had much success. What are your expectations from Baba Kalyani's report on SEZs?

A: What we are expecting is that the infrastructure



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